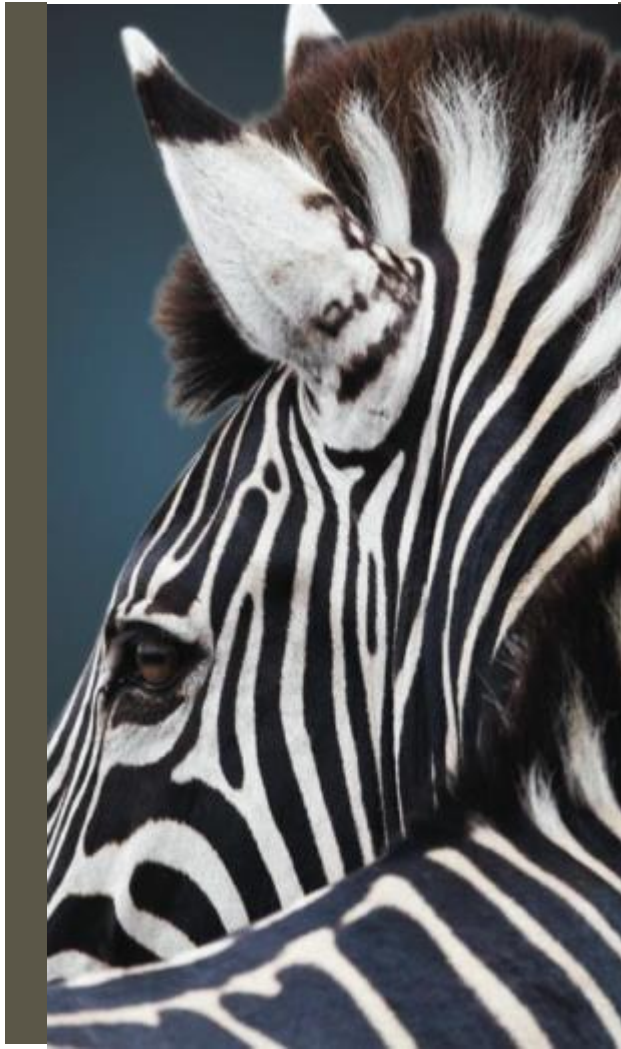




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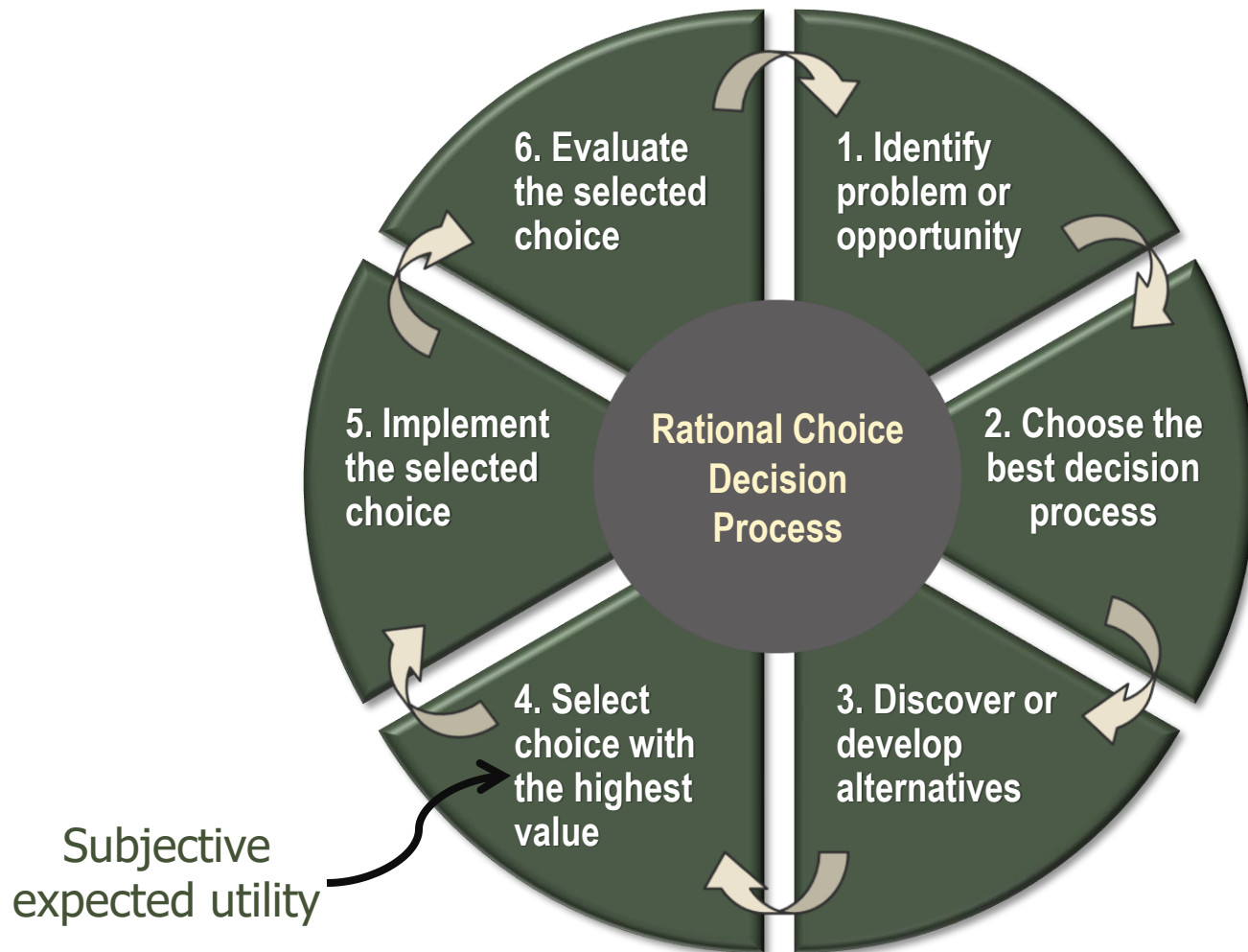
# Decision Making and Creativity

# Rational Choice Paradigm

- View that effective decision makers identify, select, and apply the best possible alternative
- Two main elements of rational choice
  1. Subjective expected utility –determines choice with highest value (maximization)
  2. Decision making process – systematic stages of decision making



# Rational Choice Decision-making Process



# Problem Identification Challenges



- Problems/opportunities are constructed from ambiguous information, not “given” to us
- Influenced by cognitive and emotional biases
- Five problem identification challenges
  - Stakeholder framing
  - Decisive leadership
  - Solution-focused problems
  - Perceptual defense
  - Mental models

# Identifying Problems Effectively

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- Be aware of perceptual and diagnostic limitations
- Fight against pressure to look decisive
- Maintain “divine discontent” (aversion to complacency)
- Discuss the situation with colleagues -- see different perspectives

# Problems with Rational Choice



- Bounded Rationality

- The view that people are bounded in their decision-making capabilities, including access to limited information, limited information processing, and tendency toward sacrificing rather than maximizing when making choices.

- Implicit Favorite

- A preferred alternative that the decision maker uses repeatedly as a comparison with other choices.

- Confirmation Bias

- The process of screening out information that is contrary to our values and assumptions, and to more readily accept confirming bias.

# Making Choices: Rational vs OB Observations



## Rational Choice Paradigm Assumptions

Goals are clear, compatible, and agreed upon

People are able to calculate all alternatives and their outcomes

People evaluate all alternatives simultaneously

## Observations from Organizational Behavior

Goals are ambiguous, conflicting, and lack agreement

People have limited information processing abilities

People evaluate alternatives sequentially

more 

# Making Choices: Rational vs OB Observations (con't)

## Rational Choice Paradigm Assumptions

People use absolute standards to evaluate alternatives

People make choices using factual information

People choose the alternative with the highest payoff (SEU)

## Observations from Organizational Behavior

People evaluate alternatives against an implicit favorite

People make choices using perceptually distorted information

People choose the alternative that is good enough (satisfice)

# Biased Decision Heuristics



- Anchoring and adjustment
  - We are anchored by and don't move far from an initial anchor point (e.g. opening bid)
- Availability heuristic
  - We estimate probabilities by how easy we can recall the event, even though other factors influence ease of recall
- Representativeness heuristic
  - We estimate probability of something by its similarity to something known rather than by more precise statistics
  - Clustering Illusion

# Problems with Maximization



- People don't try to select choice with highest value (maximization) because:
  - Alternatives appear sequentially, not all at once
  - People lack motivation/ability to process volumes of information
- How decision makers respond to maximization problems
  - **Satisficing** – choose first “good enough” alternative
  - Oversimplifying decision calculations (e.g. few evaluation criteria)
  - Avoiding the decision

# Emotions and Making Choices

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- Emotions form preferences before we consciously evaluate those choices
- Moods and emotions influence how well we follow the decision evaluation process
- We ‘listen in’ on our emotions and use that information to make choices

# Intuitive Decision Making



- Ability to know when a problem or opportunity exists and select the best course of action without conscious reasoning
- Intuition as emotional experience
  - Gut feelings are emotional signals
  - Not all emotional signals are intuition
- Intuition as rapid nonconscious analysis
  - Uses action scripts

# Making choices more effectively

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1. Systematically evaluate alternatives against relevant factors
2. Be aware of effects of emotions on decision preferences and evaluation process
3. Scenario planning

# Decision Evaluation Problems

- Confirmation bias
  - Inflate quality of the selected option; forget or downplay rejected alternatives
- Escalation of commitment -- repeating or further investing in an apparently bad decision
  - Caused by
    - self-justification effect
    - self-enhancement effect
    - prospect theory effect
    - sunk costs effect

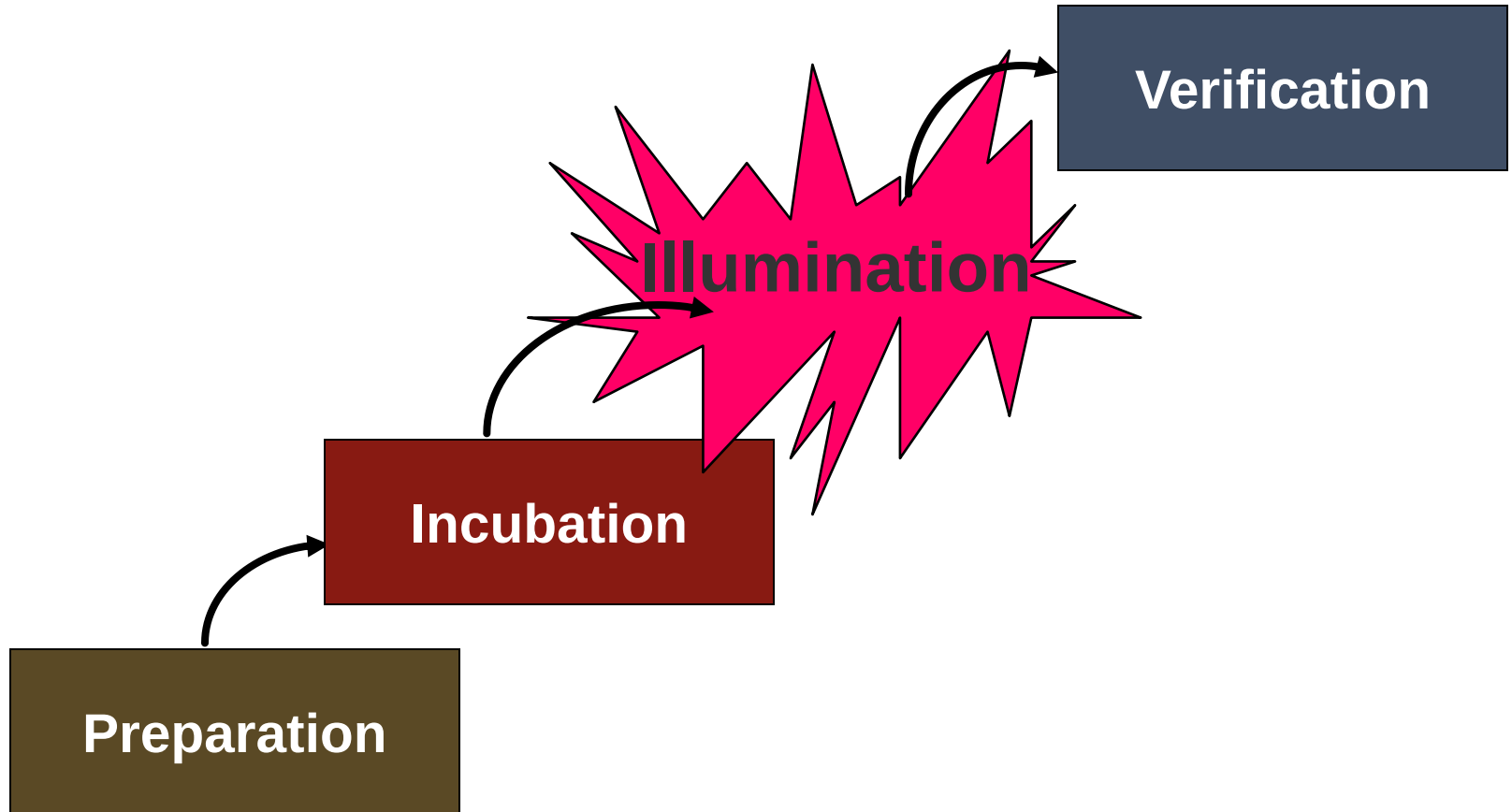
# Evaluating Decisions Better

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1. Separate decision choosers from evaluators
2. Establish a preset level to abandon the project
3. Find sources of systematic and clear feedback
4. Involve several people in the evaluation process

# Creative Process Model

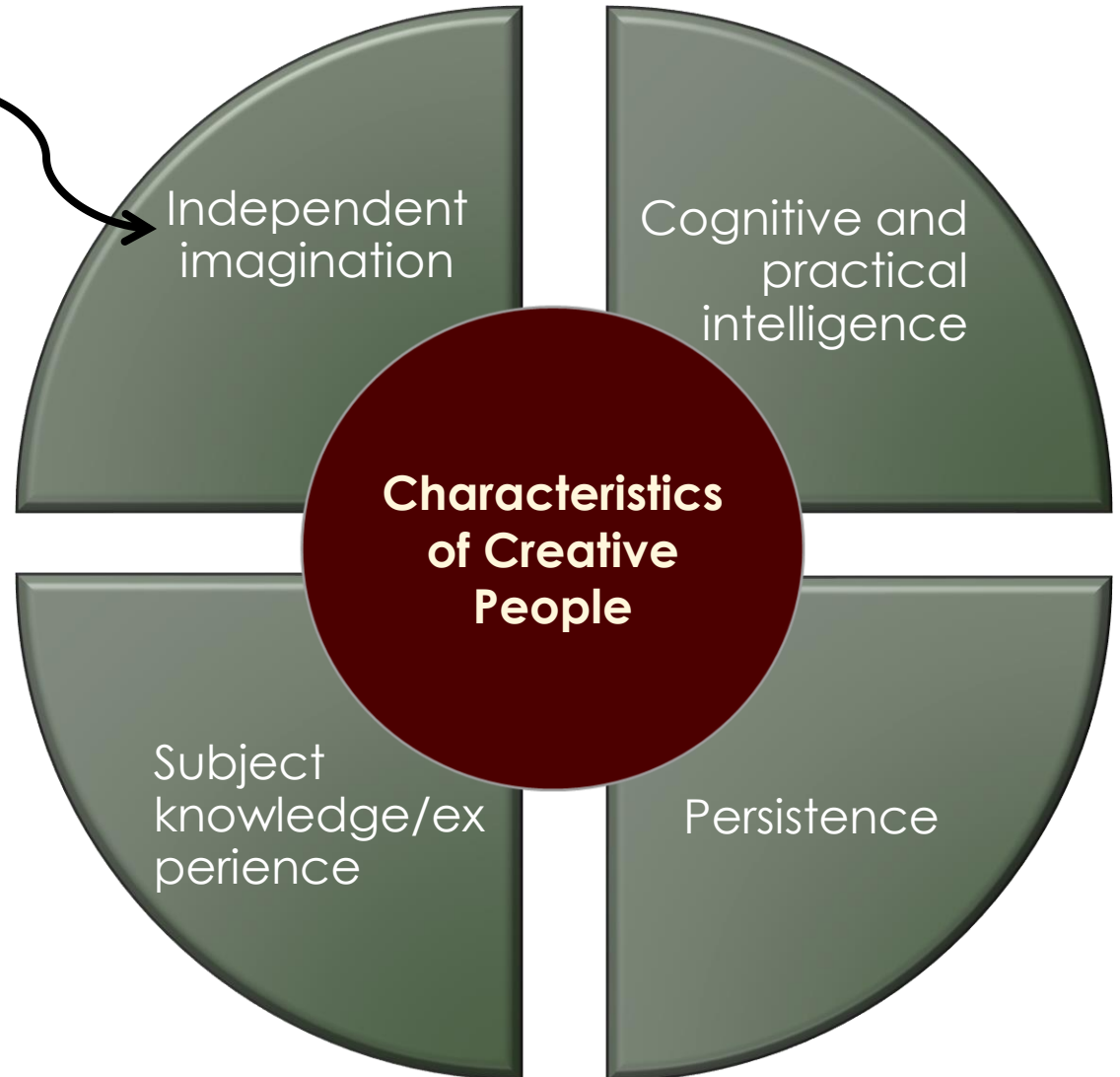


# Characteristics of Creative People



Independent imagination includes:

- Higher openness to experience
- Lower need for affiliation motivation
- Higher self-direction/stimulation values



# Creative Work Environments



- Learning orientation
  - Encourage experimentation
  - Tolerate mistakes
- Intrinsically motivating work
  - Task significance, autonomy, feedback
- Open communication and sufficient resources
- Unclear/complex effects of team competition and time pressure on creativity

# Creative Activities



## Redefine the Problem

- Revisit abandoned projects
- Explore issue with other people

## Associative Play

- Storytelling
- Artistic activities
- Morphological analysis

## Cross- Pollination

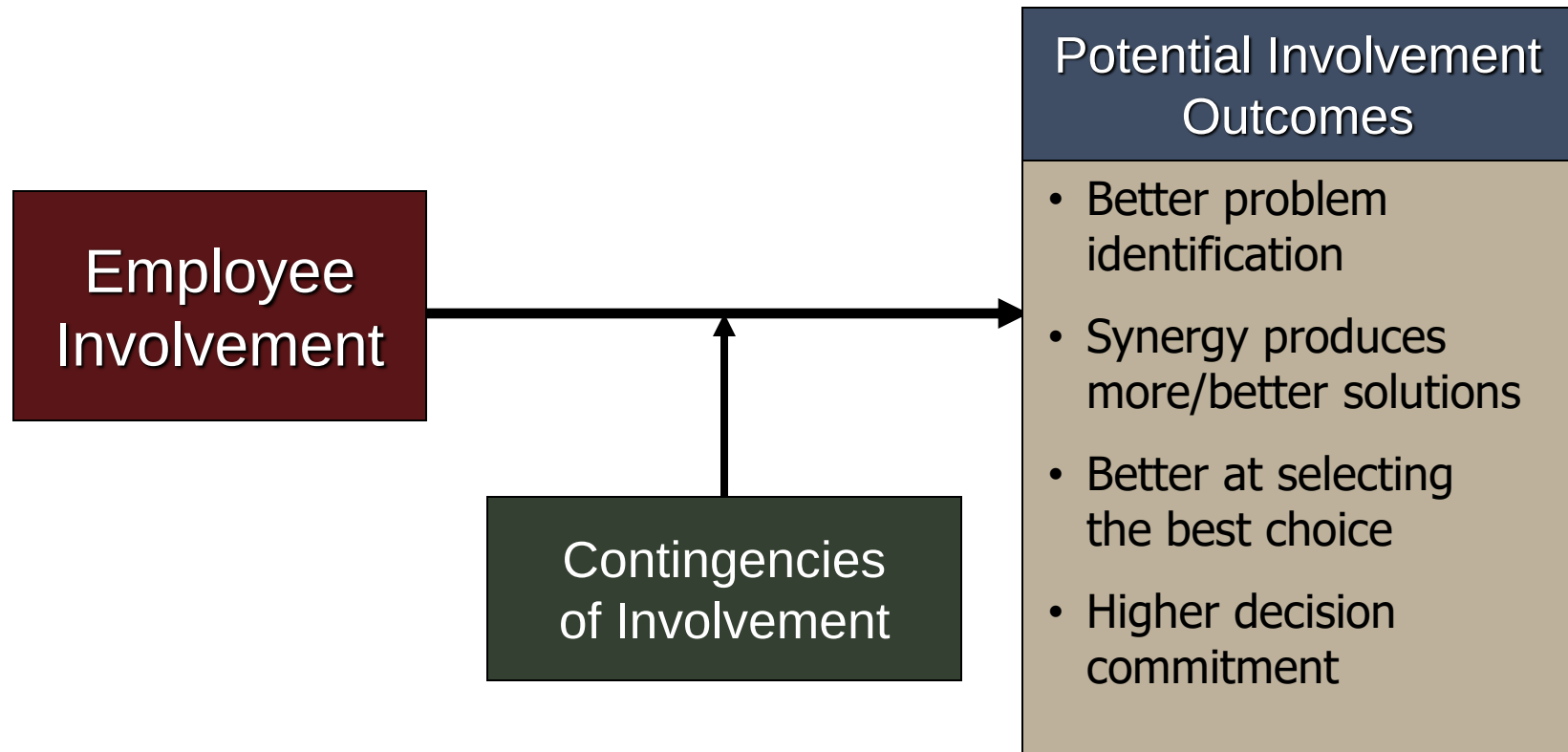
- Diverse teams
- Information sessions
- Internal tradeshows

# Levels of Employee Involvement



- **High:** Employees responsible for entire decision-making process
- **Medium-High:** Employees hear problem, then collectively develop recommendations
- **Medium-Low:** Employees hear problem individually or collectively, then asked for information relating to that problem
- **Low:** Employees individually asked for specific information but the problem is not described to them

# Employee Involvement Model



# Contingencies of Involvement

Higher employee involvement is better when:

|                     |                                                                                                                    |
|---------------------|--------------------------------------------------------------------------------------------------------------------|
| Decision Structure  | <ul style="list-style-type: none"><li>• Problem is new &amp; complex (i.e nonprogrammed decision)</li></ul>        |
| Knowledge Source    | <ul style="list-style-type: none"><li>• Employees have relevant knowledge beyond leader</li></ul>                  |
| Decision Commitment | <ul style="list-style-type: none"><li>• Employees would lack commitment unless involved</li></ul>                  |
| Risk of Conflict    | <ol style="list-style-type: none"><li>1. Norms support firm's goals</li><li>2. Employee agreement likely</li></ol> |